

which it seeks a stipulated protective order. The Court received no timely reply. The Court is therefore left with an un rebutted statement that FCA has complied with its obligations, other than a pause in producing certain documents pending a stipulated protective order. The parties are ordered to meet and confer on an appropriate protective order so that FCA may complete its production. The Motion is otherwise **denied**.

16. 9:00 AM CASE NUMBER: MSC16-00996
CASE NAME: ELY VS. WALNUT CREEK ASSOCIATES 2 [PAGA]
HEARING ON SUMMARY MOTION CONTINUED FROM 6/4/2026
FILED BY:

TENTATIVE RULING:

Before the Court is a motion for summary judgment or, in the alternative, summary adjudication, filed by defendants Walnut Creek Associates 2, Inc. (DBA Walnut Creek Honda), Gordon S. Walton, Steve Sklavos and David Trzesniewski. The motion for summary judgment is **denied**, as set forth below. However, the **motion for summary adjudication is granted with respect to the fourth, fifth, sixth, and seventh issues.**

Since the previously-set June trial date was vacated at the initial hearing on this motion, the Court sets a trial setting conference on September 9, 2026, at 8:30 a.m. in this Department. Prior to that time, parties shall file statements in compliance with California Rules of Court, rule 3.725. The statements shall include the date on which the five-year statutory deadline is expected to run pursuant to Code of Civil Procedure, §§ 583.310, et seq.

I. Background

Defendant Walnut Creek Associates 2, Inc. employed plaintiff, Landen Ely, as an automobile technician at its car dealership. On May 11, 2016, plaintiff mailed his notice under the Labor Code Private Attorneys General Act of 2004 (Lab. Code, § 2698 et seq., hereafter “PAGA”) to the Labor and Workforce Development Agency (LWDA) and defendants. (Separate Statement of Undisputed Material Fact, hereinafter “SSUMF,” Fact. No. 1; Plaintiff’s Response to SSUMF, hereinafter “plaintiff’s response” or “PAF,” No. 19.) The notice, dated May 11, 2026, states:

This investigation request and notice of California Labor Code violations concerns the systematic failure by Walnut Creek Honda to pay current and former California non-exempt employees in conformance with the California Labor Code and Wage Orders. At the core of Walnut Creek Honda violations is a policy of failing to keep accurate time and payroll records; requiring, suffering or permitting employees to perform unpaid work outside their scheduled work time; failing to pay for downtime between piece rate employment, failing to pay premium wages for all hours worked in excess of eight (8) hours and 12 hours in a day and in excess of eight (8) hours on any seventh day of a workweek; using improper federal averaging in lieu of required California calculations regarding piece rate payments; failing to pay 1.5 times the regular rate for overtime work, refusing to authorize and permit rest periods or to provide premium wages in lieu thereof; failing to provide PAID rest periods pursuant to the flag rate system which compensates employees only for work provided, failing to provide timely, complete and uninterrupted meal periods free of duty and auto-deducting wages for meal periods not provided or taken; failing to pay rest and meal

period premiums to which employees are entitled for being denied rest and meal periods; requiring employees to purchase tools and garments necessary for work without reimbursement; failing to provide accurate wage statements and failing pay of all wages owed upon separation from employment. These violations are a uniform policy applied to all non-exempt workers at Walnut Creek Honda.

[...]

If no action is taken within 30 days, we will assume that we may pursue this action under the theories described above [...].

Plaintiff then filed this action on May 24, 2016, alleging a single cause of action under PAGA. The cause of action enumerates the following statutory violations, “among others:” Labor Code, §§ 201, 202, 203, 206, 223, 226, 226.3, 226.6, 226.7, 226.8, 256, 510, 512, 558, 1174, 1185, 1194.2, 1197, 1197.1, 2699 *et seq.*, and applicable IWC Wage Orders. (Complaint, ¶18.)

With respect to exhaustion of remedies, plaintiff states that the PAGA notice requirements “will have been satisfied” prior to service of the complaint, and that the complaint would be amended “to confirm completion.” (Complaint, ¶42.) There is no record of plaintiff having amended the complaint. Accordingly, the complaint fails to allege complete compliance with the Labor Code section 2699.3 notice and exhaustion requirements. (SSUMF Fact Nos. 2 and 4, and plaintiff’s response.) Nevertheless, the LWDA has not sent any notice to plaintiff or intervened in this action. (PAF, Fact No. 19, and Defendants’ Response to Plaintiff’s Separate Statement, hereinafter “defendants’ response,” filed May 22, 2026.)

Defendants filed an initial answer on September 28, 2016 and a first amended answer on January 5, 2017, both of which included an affirmative defense that plaintiff failed to meet PAGA’s necessary filing and notice requirements. (SSUMF Fact No. 3, and plaintiff’s response.) Defendants moved, unsuccessfully, to compel arbitration. For various reasons, including the pending appeal of the order denying the motion to compel arbitration, as well as various developments in the law with respect to arbitration and PAGA claims, this case remained stayed until October of 2024. (See Minute Order, filed October 10, 2024.)

II. Motion and Opposition

Defendants now move for summary judgment or summary adjudication in the alternative, arguing that plaintiff lacks standing since he failed to exhaust administrative remedies, that unpaid wages cannot be recovered under PAGA, that the penalties sought can only go back one year before the PAGA notice and plaintiff seeks three years, and the recent case of *Mora v. C.E. Enters., Inc.* (2025) 116 Cal.App.5th 72 (“*Mora*”) bars plaintiff’s entire theory of liability. Defendants list nine issues for adjudication, each related to these arguments.

In support of the motion, defendants provide a declaration from counsel which attaches excerpts and exhibits from the deposition of Alan Yun, the Person Most Qualified who testified on behalf of Walnut Creek Honda, a declaration of Alan Yun, and a request for judicial notice attaching plaintiff’s PAGA notice. As required with a motion for summary judgment, defendants also provide a statement of material facts they contend are undisputed.

Plaintiff opposes the motion, except with respect to the claims pursuant to Labor Code § 558, § 226.8, and § 2810, claims plaintiff concedes “may be struck.” (Memorandum of Points and Authorities in Support of Opposition, 19, fn. 5.) Plaintiff argues he exhausted his remedies and, in any event, defendants “waived” the exhaustion defense. He also contends PAGA permits him to recover

three years of penalties pursuant to Labor Code section 203. Finally, plaintiff argues the compensation system was not legal, and that *Mora* is not controlling. In support of the opposition, plaintiff responds to defendants' SSUMF and also submits his own additional facts (PAF, Fact Numbers 19-32).

With their reply defendants respond to the plaintiff's additional facts and argue plaintiff fails to meet his burden to overcome summary judgment.

Prior to the initial hearing on summary judgment on June 4, 2026, Judge Treat tentatively denied the motion for summary judgment because he declined to construe the exhaustion issue as decisive, and also denied the motion for summary adjudication based on the procedural grounds that summarily adjudicating parts of a cause of action is not permitted. According to this Judge's understanding, at the hearing, Judge Treat instructed parties to provide supplemental briefing on the issues raised by *Mora v. C.E. Enterprises, Inc.* (2025) 340 Cal.Rptr.3d 368, and informed the parties that their supplemental briefing would substitute for the opening briefs in the trial of this matter, which was scheduled to proceed on June 22, 2026 at the time. He vacated the trial date and set a supplemental briefing schedule, as well as this date for continued hearing.

III. Evidentiary Matters

No evidentiary objections were filed with the initial papers. Defendants requested judicial notice of the complaint, their answer, and their amended answer, as well as the plaintiff's PAGA notice, a copy of which is attached to the Volume of Evidence in Support of the Motion. Defendants' request is **granted**.

In support of his supplemental brief, plaintiff requests judicial notice of (A) certain evidence submitted to the trial court in *Mora v. C.E. Enterprises, Inc.*, Ventura County Superior Court Case No. 56-2018-00521275-CU-OE-VTA; (B) the trial court's Statement of Decision which was later affirmed; and (C) Appellant Gustavo Mora's Opening Brief in the appellate court, prior to the opinion *Mora v. C.E. Enterprises, Inc.* (2025) 340 Cal.Rptr.3d 368. Plaintiff's request is **granted**.

In response to the evidence supporting plaintiff's supplemental ("opening") brief, defendants object to various content in the Declaration of David Fairris, which is attached to the Declaration of Elizabeth R. Klos, filed July 2, 2026. The objections are nonspecific, citing multiple paragraphs and, at times, only objecting "to the extent" certain qualifications are met. The objections are **overruled**.

IV. Standard

To be entitled to judgment as a matter of law, a defendant must show by admissible evidence that the action has no merit. (Code Civ. Proc., § 437c, subd. (a).) To obtain summary judgment, as opposed to summary adjudication, a defendant must show conclusively that all of the plaintiff's causes of action or legal theories fail as a matter of law. (See *Jimenez v. Protective Life Ins. Co.* (1992) 8 Cal.App.4th 528, 534.)

To be entitled to summary adjudication, a moving party must show that it prevails on "one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty." (Code Civ. Proc., § 437c (f)(1).) Summary adjudication "shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty." (*Ibid.*) A motion for summary adjudication may be made by itself or as an alternative to a motion for summary judgment and shall proceed in all procedural respects as a motion for summary judgment. (Code Civ. Proc., § 437c (f)(2).)

A defendant moving for summary judgment or adjudication can meet its burden by

demonstrating one or more elements cannot be established, or by showing a complete defense. (Code of Civ. Proc., § 437c, subd. (o).) The scope of the moving party's initial burden is "framed by the pleadings." (*Leyva v. Garcia* (2018) 20 Cal.App.5th 1095, 1102.) Once the moving defendant has met that burden, the burden shifts to the plaintiff to show via specific facts that a triable issue of material fact exists. (Code of Civil Procedure § 437c, subd. (p)(2).) Although the burden of production may shift, the moving party always bears the burden of persuasion. (*Aguilar v. Atlantic Richfield* (2001) 25 Cal.4th 826, 850.)

V. Discussion

A. MSJ (Issues 1-2: Failure to Exhaust Administrative Remedies by Prematurely Filing Suit)

Defendants argue that plaintiff failed to exhaust his administrative remedies. Defendants assert, therefore, that the Court lacks jurisdiction and summary judgment is warranted.

A PAGA plaintiff must give written notice to the Labor and Workforce Development Agency ("LWDA") of the specific provisions of the Labor Code alleged to have been violated, including the facts and theories to support the alleged violation. Thereafter, if the agency fails to provide timely or any notification that it will investigate the allegations, the aggrieved employee may commence the PAGA action after waiting the required number of days. (Labor Code, § 2699.3 (a)(2)(A); *Esparza v. Safeway, Inc.* (2019) 36 Cal.App.5th 42, 59; *Kim v. Reins International California, Inc.* (2020) 9 Cal.5th 73, 81.)

The version of Labor Code § 2699.3, subdivision (a) in effect at the time of plaintiff's notice here stated as follows (emphasis added):

A civil action by an aggrieved employee pursuant to subdivision (a) or (f) of Section 2699 alleging a violation of any provision listed in Section 2699.5 shall commence *only after the following requirements have been met:*

(1)The aggrieved employee or representative shall give written notice by certified mail to the Labor and Workforce Development Agency [...].

(2)(A) The agency shall notify the employer and the aggrieved employee or representative by certified mail that it does not intend to investigate [...]. Upon receipt of that notice *or if no notice is provided within 33 calendar days of the postmark date of the notice* given pursuant to paragraph (1), the aggrieved employee may commence a civil action pursuant to Section 2699.

The notice requirement has been found to be "a condition of suit," without which an employee cannot bring a PAGA action. (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 545.) Here, plaintiff did provide the LWDA notice, but failed to wait the requisite number of days (33) before filing suit. The notice here was sent on May 11, 2016 and plaintiff filed suit just 13 days later on May 24th. This was premature, a fact not in dispute.

Defendants argue this issue is dispositive, citing several cases including *Caliber Bodyworks, Inc. v. Superior Court*, wherein the appellate court found the trial court should have sustained the defendant's demurrer due to the plaintiffs' failure to plead compliance with PAGA's prefiling notice requirements. (*Caliber Bodyworks, Inc. v. Superior Court* (2005) 134 Cal.App.4th 365, 383, overruled on other grounds by *ZB, N.A. v. Superior Court* (2019) 8 Cal.5th 175, 196, fn. 8.)

Plaintiff does not address *Caliber*, but the Court notes there is some grounds for distinction

given that plaintiff Ely here did plead partial compliance, if not complete compliance, with the notice requirements. Ely's complaint states, in relevant part:

42. The pre-lawsuit notice requirements set forth in Labor Code § 2699.3, including written notice by certified mail to .all DEFENDANTS and to the Labor and Workforce Development Agency detailing the Labor Code and IWC Wage Order violations averred herein, will have been satisfied by PLAINTIFF prior to service of this Complaint. PLAINTIFF will amend his Complaint at that time to confirm completion.

In *Caliber Bodyworks, Inc.*, plaintiffs' "operative complaint [did] not mention the [PAGA]." (*Caliber, supra*, 134 Cal.App.4th at 370.) The Court concluded that, at least on demurrer, plaintiffs' failure to plead compliance with the Labor Code § 2699.3(a) administrative prerequisites to filing suit was fatal to the PAGA claims. (*Caliber*, at 381-382.) While the court in *Caliber* recognized that, given the posture there (on demurrer), and statutory provisions relating to amendment, that plaintiff would be able to seek leave to amend after having complied with the LWDA. (*Id.* at 383, fn.18.)

There is little California authority on point, but in a recent decision, *Brown v. Dave & Buster's of California, Inc.* (2025) 116 Cal.App.5th 164, the Second District Court of Appeal addressed the question of how to construe premature filing of a PAGA lawsuit. In that case, the trial court granted an employer's motion for judgment on the pleadings based on claim preclusion. Plaintiff Brown's PAGA suit followed a final judgment on Andrade's PAGA suit. Accordingly, the employer seeking to invoke claim preclusion took the position that the prior PAGA judgment was *valid*, and premature filing was *not* a substantial defect, while the employee (Brown) sought to *undermine* the judgment's validity so that her suit would not be barred.

The *Brown* court stated, "only one issue is before us: did Andrade's [the first PAGA plaintiff's] failure to adhere strictly to the 65-day waiting period for her amended claims defeat Buster's [employer's] claim preclusion argument?" The *Brown* court went on to discuss federal district court cases which have taken a permissive approach to the exhaustion requirements, overlooking a plaintiff's failure to plead exhaustion based on the lack of any reason to "punish plaintiffs" for acting too quickly. (*Brown, supra*, 116 Cal.App.5th at 171.) While the federal cases are not binding here, they appear to generally support the position that the prematurity defect does not bar suit.

The *Brown* court discussed the policy of substantial compliance, its application with respect to the Government Claims Act, and found that it also applied on the facts in *Brown*. (*Brown, supra*, 116 Cal.App.5th at 172 ["Andrade's failure to wait 65 days was a harmless defect."].)

While plaintiff's waiver argument misses the mark (waiver involves intentional relinquishment or abandonment of a known right, but defendants have done nearly nothing except seek to compel arbitration here), he is correct to point out that this case has been pending (albeit stayed) for almost ten years and the LWDA has never intervened. Accordingly, the Court finds strict compliance with the exhaustion requirements was excused.

Defendants have not met their burden to show entitlement to judgment as a matter of law. Accordingly, while the facts underlying summary judgment are not in dispute (see SSUMF Fact Nos. 1-4, and plaintiff's response), the motion must be denied on Issues 1-2.

B. Motion for Summary Adjudication (Issues 3-9)

Previously, Judge Treat ruled that summary adjudication was not warranted based on the procedural problem of the issues not completely resolving any of the items listed in the statute (summary adjudication "shall be granted only if it completely disposes of a cause of action, an

affirmative defense, a claim for damages, or an issue of duty”). (Code Civ. Proc., § 437c (f)(1).)

Judge Treat suggested that the questions raised by defendants are better suited for motion in limine, motion to strike, or stipulation. Upon further review, this Judge (Judge Campins) finds it appropriate, in the context of a PAGA claim, to grant adjudication as to several issues raised, as set forth below.

1.MSA (Issue 3) – Penalties for Statutory Violations not in PAGA Notice)

Defendant argues plaintiff’s claim pursuant to Labor Code sections 206, 226.3, 226.8, 2810, and 2810.5 are barred based on plaintiff’s failure to specifically cite these sections in the PAGA notice.

It has been stated that PAGA's prelitigation notice requirement is “minimal” and the notice must simply be specific enough such that the LWDA and the defendant can glean the underlying factual basis for the alleged violations. (*Ibarra v. Chuy & Sons Labor, Inc.* (2024) 102 Cal.App.5th 874, 882, quoting *Gunther v. Alaska Airlines, Inc.* (2021) 72 Cal.App.5th 334, 350-351.) A written notice is sufficient so long as it contains some basic facts about the violations, such as which provision was allegedly violated and who was allegedly harmed. (*Ibid.*)

Plaintiff concedes that penalties under Labor Code sections 226.8 and 2810 are not properly asserted here. He further does not *genuinely* dispute that *citations* to the other code sections were absent from his notice.

Instead, plaintiff reiterates the language from his notice which sets forth a narrative regarding a “systematic failure” to timely and accurately pay wages. (See SSUMF, Fact No. 5, and plaintiff’s response.) The letter states that the alleged statutory violations “included,” but were “not limited to” those listed in the letter, and did “not include all of the derivative penalties.” (See Volume of Evidence in Support of Motion, Request for Judicial Notice, Ex. A.)

Plaintiff argues that where one statute merely provides penalties for noncompliance with another statute (like Labor Code, section 226.3 providing penalties associated with violations of Labor Code, section 226), the citation to the underlying violation is sufficient. Here, for example, the failure to provide accurate wage statements in compliance with section 226 was articulated in the PAGA notice. Accordingly, plaintiff avers that it is not necessary to also discuss Labor Code, section 226.3 in the notice.

Plaintiff is at least correct on this point concerning the derivative nature of some cited statutes and, since summary adjudication may only be granted “if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty,” (Code Civ. Proc., § 437c, subd. (f)), the motion is denied as to Issue 3.

2.MSA (Issue 4 – Misclassification)

Defendants assert, as the fourth issue in the Notice of Motion, that they are entitled to summary adjudication as to any request for penalties under Labor Code section 226.8 because the complaint contains no “facts and theories” describing any unlawful misclassification as an independent contractor and there are no facts to support the notion that the subject employees were ever so misclassified.

In support of this issue, defendants assert Fact No. 7 which states, “Plaintiff’s PAGA notice to the LWDA, dated May 11, 2016 does not allege any facts or theories describing any unlawful

misclassification as an independent contractor.” Plaintiff does not dispute the fact.

Summary adjudication is granted as to Issue 4.

3.MSA (Issue 5 - Penalties Under Section 2810)

Defendants argue that summary adjudication as to Labor Code Section 2810 is warranted because that section only pertains to contracts “for labor or services with a construction, farm labor, garment, janitorial, security guard, port drayage motor carrier, or warehouse contractor[.]” (Lab. Code, § 2810 (a).) Further, plaintiff’s LWDA letter included no reference to this statute. Plaintiff does not respond to this issue whatsoever in his opposition brief and does not dispute the material fact offered by defendants in support of the issue (see SSUMF, Fact No. 8, and plaintiff’s response).

Summary adjudication is granted as to Issue 5.

4.MSA (Issue 6 - Labor Code Section 558)

Defendants’ motion asserts plaintiff cannot recover any penalties for violations of Labor Code section 558. Since the time this action was filed, this issue has been considered and decided by the California Supreme Court in *ZB, N.A. v. Superior Court* (2019) 8 Cal.5th 175, which held that “section 2699, subdivision (a) does not authorize employees to collect section 558’s unpaid wages through a PAGA action.” (*ZB, N.A., supra*, 8 Cal.5th at 188.) In the opposition, plaintiff concedes the issue and does not dispute the fact offered in support of this issue (see SSUMF, Fact No. 9, and plaintiff’s response).

Summary adjudication is granted with respect to violations of Labor Code section 558.

5.MSA (Issue 7 – Penalties for Violations Only Within One Year Only)

Defendants’ motion asserts plaintiff can only recover penalties dating back one year from the PAGA notice and seeks summary adjudication as to any violation pre-dating the one-year prior to plaintiff’s PAGA notice. The one-year statute of limitations under PAGA is a rule articulated in multiple controlling authorities. (See, e.g., *Esparza v. Safeway, Inc.* (2019) 36 Cal. App. 5th 42, 59-60; *Brown v. Ralphs Grocery Co.* (2018) 28 Cal.App.5th 824, 839.)

In opposition, plaintiff first contends that defendants have waived this argument, but as noted in the reply, an affirmative defense based on the statute of limitations in Labor Code section 340 was asserted in both the answer and the amended answer.

The opposition further invokes the Legislature’s 2025 amendment of the PAGA statute to include an explicit reference to Labor Code, section 340 which, in turn imposes a one-year limitations period. The opposition takes the position that the amendment shows the law was in question before the amendment, but cites no case or statutory language demonstrating the limitations period was ever three years. This interpretation appears to be unsupported and contradictory to the view taken by multiple appellate courts.

Summary adjudication is granted as to this issue.

6.MSA (Issues 8 and 9 – “PAY PLAN 1” and “PAY PLAN 2”)

Defendants argue they are entitled to summary adjudication with respect to “Pay Plan 1,” which was in effect May 11, 2015 through December 2017, as well as “Pay Plan 2,” which has been in effect December 2017 through the present. They argue that the “hourly production bonus” was a not a “piece-rate plan requiring separate pay for hours spent on non-piece-rate tasks and rest breaks.”

Defendants contend “there is no factual dispute that defendants did separately pay at least minimum wage for all hours worked, including rest breaks & non-productive time.” Defendants rely on a recent appellate decision, from the Second Appellate District: *Mora v. C.E. Enterprises, Inc.* (2025) 340 Cal.Rptr.3d 368.

Plaintiff responds that the decision in *Mora* does not control here. In support of their supplemental briefing, they request judicial notice of the trial court’s opinion that was reviewed and affirmed in *Mora*. There, the trial court specifically noted in its Statement of Decision that, despite judgment in favor of defendants, “[n]othing in this decision [...] is intended to be a finding on whether or not the [defendant] payplan is structurally illegal, or otherwise violative of the Labor Code provisions regarding the payment of legally required wages.” (Request for Judicial Notice, Ex. B, 4:10-12.) The appellate court proceeded to review the trial court’s judgment with substantial commentary about the standard of review and whether appellant plaintiffs had sufficiently met their evidentiary burden in the trial court.

Accordingly, even if parties were able to show identical issues in this case as in *Mora*, that opinion does not control based on comments by both the trial court and the appellate court. (See, e.g., *Mora, supra*, 116 Cal.App.5th at 87 [declining to consider new arguments made in reply brief, noting on appeal, the trial court is presumed to have ruled correctly, and noting “appellants have failed to provide an adequate record for us to review their contentions regarding their PAGA claim”].) Further, there are several disputes of fact that appear to be material to these issues. (See SSUMF, Fact Nos. 11-17, and plaintiff’s response.)

At a minimum, plaintiff submits evidence (to which defendants do not object) that “Defendants’ compensation system for workers is based on the number of ‘pieces’ of work completed, and as such should be viewed as a piece-rate system of pay. Compensation is never determined by the ‘base hourly rate’ multiplied by ‘straight-time hours’ plus some ‘productivity bonus,’ as would be the case in a payroll system based on an hourly wage and the number of clocked hours worked.” (Declaration of David Fairris, ¶4.) This is sufficient to create a triable dispute of fact.

Defendants’ request for summary adjudication on issues 8 and 9 is denied.

17. 9:00 AM CASE NUMBER: MSC21-02493

CASE NAME: KUAR VS. MAHARAJ

HEARING ON SUMMARY MOTION

FILED BY:

TENTATIVE RULING:

Denied as moot based on cross-complainants' July 2, 2026 voluntary dismissal without prejudice of cross-complaint against the moving party/cross-defendant Suman Behari.

18. 9:00 AM CASE NUMBER: N23-2314

CASE NAME: STEVEN SMITH VS. AURIN CANSON

***HEARING ON MOTION IN RE: BE RELIEVED AS COUNSEL RE: DAVID HERMELIN**

FILED BY: CANSON, AURIN M.K.

TENTATIVE RULING: